

## **SECTION A – CASE QUESTIONS** (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

### **CASE**

Mega Foods and Grocery Group ("Mega") is a multi-national fresh foods and groceries ("FFG") retail group based in London. Mega sells FFG in retail chain stores throughout various regions and countries in Asia, with the current exception of mainland China. A few years ago, Mega established several retail chain stores in Hong Kong that sell British FFG and which account for around 5% of the total market share in Hong Kong. Mega attracts customers who like to buy British FFG products despite the prices of British FFG being comparatively higher than other local FFG.

As the FFG retail market in Hong Kong is monopolised by a few giant groups, Mega has been struggling to survive. Since COVID, all FFG stores are faced with high rents, lower demand due to consumers preferring to buy FFG online or from mainland China, and higher salaries and operating costs. These factors, together with economic uncertainty, have resulted in the lower profitability of Mega's FFG retail business in Hong Kong. As a result, Mega's FFG retail division closed several retail stores which had accumulated significant financial losses, and the Board of Directors is now considering other strategic options to operate their business.

Recently, the business environment seems to have improved. The Government of the Hong Kong SAR has been implementing different economic policies to attract mainland Chinese and overseas travellers to Hong Kong, and to import overseas talents to solve labour shortages in Hong Kong. The rent of retail stores has also become stable due to the slow economy, which has reduced the operating costs of doing business in Hong Kong.

Despite these recent improvements, a major shareholder proposes to Mega's Chief Executive Officer to financially reconstruct their FFG retail business in Hong Kong due to fierce competition, high operating costs, and shrinking market share in Hong Kong. The shareholder aims for higher return on the investment in Mega, which may use the sale proceeds from reconstruction to develop other businesses.

Meanwhile, the company's management has identified some business opportunities in the market. The sales director of Mega notes that many FFG competitors have added health and wellness products, such as supplements, preventive medicine, and health and wellness medicines, in their stores to meet the increased demand for these products after COVID. The gross margins of selling health and wellness products are significantly higher than selling FFG, which has attracted many health and wellness product specialist retail stores to join the market. Mega does not have retail experience in selling health and wellness products, so Mega must set up a new health and wellness product team to develop this business.

The business development director of Mega suggests that Mega should open FFG retail stores to sell British FFG products in Shenzhen, one of the special economic zones in mainland China. Shenzhen is close to Hong Kong and would be the best place for Mega to open FFG retail stores to tap into the mainland Chinese FFG market. The business development

director understands that the FFG market in mainland China is huge but very competitive and has been dominated by local and US-based giant retail stores.

The Chief Executive Officer of Mega proposes opening a British style cafe to serve British food and beverages in its FFG retail stores. The CEO heard that customers now prefer more shopping experience when they are buying FFG. As such, a British style cafe can attract more customers to further improve their British shopping experience in Mega's stores. However, Mega does not have any experience operating a cafe in their FFG retail stores.

Glory Limited ("Glory"), a subsidiary of Mega, has been selling plastic tableware to food stores for many years, and their business was blooming during COVID. However, due to poor financial management, Glory is now unable to pay interest on its bank loans and to raise new and additional financing to support the business. As a result, Glory has incurred significant amounts of accumulated losses. Glory has a HK\$12 million bank loan at variable interest rate that is secured on property. It also has accounts payable and other payables at HK\$8.9 million, salaries and wages payable at HK\$880,000, and an annual audit fee payable at HK\$400,000, as at 31 March 2024.

Due to the slowdown of food catering business activities and the "reduction of disposable plastic tableware" policy, the Board of Directors of Mega estimates that sales revenue will reduce by 80%; therefore, management is considering closing down Glory and focusing on developing other businesses. Glory has engaged an independent liquidation expert to assess the value of its assets, which total HK\$16 million, including HK\$10 million for the property after depreciation and other assets, net of write-offs for problematic assets such as accounts receivable and inventories, in case of close downs. The closing down process is expected to include the appointment of a trustee to sell the property, with an estimated trustee cost equal to 4% of the estimated value of the property, and a liquidator who will be appointed at a fee of around HK\$1 million. Unpaid stamp duty is HK\$680,000. Glory has been financed by a few shareholders for HK\$2 million.

With the growing interest in mobile gaming, Mega is considering acquiring a start-up mobile game developer named "Nice", which is qualified as a new and high-tech enterprise in Shenzhen. The Board of Directors would like to acquire the start-up at a lower price, invest in its growth, and eventually list it on the stock exchange in mainland China or Hong Kong in the near future. The financial controller has obtained some basic financial information from Nice. Nice has an average annual sales of RMB 100 million and earnings before interest and tax ("EBIT") of RMB 20 million. Mainland China's corporate income tax standard rate is 25%, and qualified new and high-tech enterprises can enjoy lower corporate income tax rates at 15%. Hong Kong's profit tax rate is 16.5%. Based on recent mobile game industrial reports, the average mobile game sales growth rate is around 30% annually, and the average EBIT per sales ratio will be comparatively stable in the coming years. Nice is currently maintaining depreciation at 10% of sales, change in new working capital at 8% of sales, and change in capital expenditure at 6% of sales. Nice has cash of RMB 2 million, short-term debt instruments book value at RMB 1 million with market value at RMB 2 million, and long-term debt instruments book value at RMB 3 million with market value at RMB 4 million. Nice has a weighted average cost of capital of 15%. Nice's free cash flow is expected to grow at 4% p.a. in perpetuity. Based on the existing economic and financial situation of Nice, the financial controller will add a 2% risk premium to assess the project for the coming 3 years. Mega will dispose of Nice at the end of the project if the financial performance is unsatisfactory.

**Question 1** (15 marks – approximately 27 minutes)

Acting as the financial controller of Mega, write a memo to the Board of Directors to consider the strategic options available to Mega regarding its struggling FFG business. Evaluate each strategy and recommend a suitable strategy or strategies to Mega.

Note: A maximum of 2 marks for communication skills will be awarded.

(15 marks)

**Question 2** (10 marks – approximately 18 minutes)

Recommend and evaluate THREE appropriate financial reconstruction methods that Mega can consider adopting for the FFG retail business in Hong Kong. Recommend the most suitable method to Mega and its stakeholders.

Note: A maximum of 2 marks for analytical skills will be awarded.

(10 marks)

**Question 3** (12 marks – approximately 22 minutes)

(a) Evaluate the financial situation of Glory's business.

(6 marks)

(b) Calculate possible claims in case of closing down of Glory's business.

(6 marks)

**Question 4** (13 marks – approximately 23 minutes)

Calculate, using the most appropriate valuation method, the enterprise value and the implied value of equity of Nice, and recommend the maximum sales proceeds from reconstruction to acquire Nice.

Note: All figures should be rounded to 2 decimal places in calculations.

(13 marks)

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End of Section A

## **SECTION B – ESSAY / SHORT QUESTIONS** (Total: 50 marks)

Answer **ALL** of the following questions. Marks will be awarded for logical argumentation/ calculation and appropriate presentation of the answers.

### **Question 5** (17 marks – approximately 31 minutes)

FCP is a startup company that operates an online trading platform in Hong Kong, allowing suppliers to sell their products to end customers. FCP is privately owned by two founders and invested into by a few venture capitals. They have a designated investor relationship team to closely connect with their investors. FCP utilises the latest big data technology, and the investor relationship team believe FCP can leverage the data captured in their big data platform to provide marketing advisory services to various retailers and wholesalers in Hong Kong. FCP would like to set up a new business unit by investing in data harvesting; however, this would involve significant investment, so FCP is exploring various financing opportunities to fund such an initiative. Ryan, FCP's newly hired treasurer, has suggested to FCP's Board of Directors that funds should be raised using private placement. However, the investor relationship team believes instead of being led by the treasury, they should take the lead on fundraising and communicate the above financing plan with their investors as they have better relationships with the existing investors.

#### **Required:**

- (a) **Explain how data harvesting works and how FCP can leverage it for their new business opportunity.**  
(6 marks)
- (b) **Describe the responsibilities of the treasury department during a private placement.**  
(4 marks)
- (c) **Explain the role of the treasury department in managing investor relationships, including the different roles and focus.**  
(7 marks)

**Question 6 (18 marks – approximately 32 minutes)**

Last Dance Studio Limited ("Last Dance") runs studios and gymnasiums in Hong Kong that provide yoga, dancing, and health related classes to their students. Last Dance is listed on the main board of the Hong Kong Stock Exchange ("HKEX"). They increased their number of studios in 2024 to capture the growth of market demand, and implemented various Environmental, Social and Government ("ESG") measures. To prepare for their annual ESG report and disclosures required by HKEX, Last Dance have summarised their ESG measures and extracted the following information:

- Reduction of carbon emissions – Last Dance reduced carbon emissions and energy consumption by switching to LED lighting as LEDs are much more energy efficient compared to traditional incandescent or fluorescent bulbs.
- Increased use of renewable energy – Last Dance started installing solar panels in their owned premises to increase the proportion of renewable energy.
- Introduction of occupational health and safety ("OHS") programme – Last Dance conducted training and implemented policies to obtain accreditation under ISO 45001, the international standard that specifies requirements for an OHS management system intended to improve the safety and health of both employees and other personnel.

| Year                                                                | 2023                | 2024                |
|---------------------------------------------------------------------|---------------------|---------------------|
| Size of studio                                                      | 120,000 square feet | 250,000 square feet |
| Electricity consumed on equipment                                   | 600,000 kWh         | 1,250,000 kWh       |
| Electricity consumed on lighting                                    | 1,000,000 kWh       | 1,350,000 kWh       |
| Electricity consumed on air-conditioning and ventilation            | 600,000 kWh         | 1,250,000 kWh       |
| Electricity consumed on hot water heating (changing room of studio) | 80,000 kWh          | 160,000 kWh         |
| Proportion of renewable energy used                                 | 5%                  | 15%                 |

Carbon emissions per kWh for both 2023 and 2024 are 0.66 kg CO<sub>2</sub>-e, with no carbon emissions from renewable energy use. Carbon credit is trading at HK\$75 per ton (per 1,000 kg).

**Required:**

- (a) Calculate the electricity consumption per square foot and describe the trend of total electricity consumption versus electricity consumption per square foot. (3 marks)
- (b) Calculate total carbon emissions in 2024 and the cost for Last Dance to become carbon neutral by purchasing carbon credits to offset their carbon emissions in 2024. (4 marks)

- (c) Advise on FOUR relevant KPIs for Last Dance to discuss in their annual ESG report under the Hong Kong Stock Exchange rules.

(4 marks)

- (d) The CFO of Last Dance, Angie, is a professional accountant and a member of HKICPA. Angie was instructed by the Board of Directors to disclose only that Last Dance had achieved carbon neutrality, without providing additional details in the ESG report. Advise which fundamental principles of the HKICPA Code of Ethics for Professional Accountants would be relevant to Angie in responding to this request.

(7 marks)

**Question 7 (15 marks – approximately 27 minutes)**

Unicorn, a well-known fragrance and beauty brand, purchases its products from their Original Equipment Manufacturer ("OEM") suppliers in Europe and distributes them globally. Unicorn Asia is the Asian distributor of Unicorn, who previously operated under a wholesale model and relied on wholesale channels, such as department stores and major retailers, to sell its products to customers. This year, in order to have more control over its brand image, pricing strategy, and customer experience, Unicorn Asia has decided to shift its strategy to a retail model by opening their own retail outlets and selling directly to consumers.

The finance team has prepared the financial statements under these two models (i.e. before and after the change of their business model). Below is an extract of the financial information during the period from January to December 2025 under the two models.

|                                      | Wholesale model | Retail model |
|--------------------------------------|-----------------|--------------|
|                                      | USD             | USD          |
| Net sales                            | 58,000,000      | 76,000,000   |
| Cost of goods sold                   | 15,000,000      | 15,000,000   |
| Average inventory balance            | 1,000,000       | 3,005,500    |
| Average accounts receivables balance | 8,550,000       | 430,000      |
| Average payables balance             | 1,850,000       | 1,850,000    |

**Required:**

(a) Below is the Cash Conversation Cycle of the wholesale model:

|                                   |           |
|-----------------------------------|-----------|
| Days Sales in Inventory ("DSI")   | 24.3 days |
| Days Sales Outstanding ("DSO")    | 53.8 days |
| Days Payables Outstanding ("DPO") | 45.0 days |
| Cash Conversion Cycle             | 33.1 days |

Calculate the Cash Conversation Cycle of the retail model and explain how shifting the business model from wholesale to retail would change the Cash Conversion Cycle.

(8 marks)

(b) Unicorn Asia's Days Sales Inventory ("DSI") target under the retail model is 60 days after benchmarking to market performance.

(i) If the opening inventory balance of Unicorn Asia is 2,700,000, calculate the maximum closing inventory balance required for Unicorn Asia to meet the DSI target.

(4 marks)

(ii) Determine the reduction in the average payable balances for one-day improvement in the Days Payables Outstanding ("DPO") of the Cash Conversion Cycle under the retail model.

(3 marks)

\* \* \* END OF EXAMINATION PAPER \* \* \*